Shrinkflation in Singapore's Private Homes

Homes shrank by 40% to keep the price tag within reach. Since URA capped unit numbers, the price tag rises instead.

DAO2702 Group Assignment · Team [team name] · [member names]

Shrinkflation in housing

Shrinkflation means a product gets smaller while its price stays put, so the price per unit rises without the tag moving [7]. In a home, the product is floor area, the unit price is price per sq ft (PSF) and the tag is the total price, which is what a bank lends against. MAS caps repayments at 55% of income, tested at 4% interest or more [4].

Question

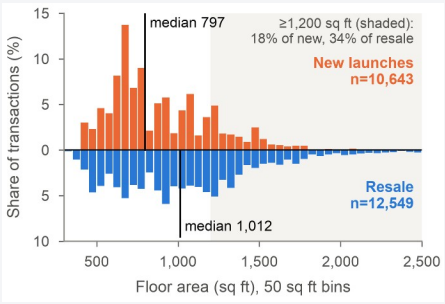
Did Singapore's private homes shrink to keep the total price within reach, and is that still happening in 2025? Row 1 shows what shrank, row 2 whether the shrink is real and how it works, and row 3 why it happened and what changed once URA capped the number of units a project may build [5].

Data

24,131 URA transactions from 2025 and 74,436 from Aug 2020 to Dec 2023 [1], after dropping 155 rows outside 200–5,000 sq ft and fixing the 'freenhold' typo. A home's vintage is its lease-start year (99-year leaseholds, 66,237 sales), close to the year its land was sold. Outside data: URA price index [2], SingStat income [3], MAS rules [4].

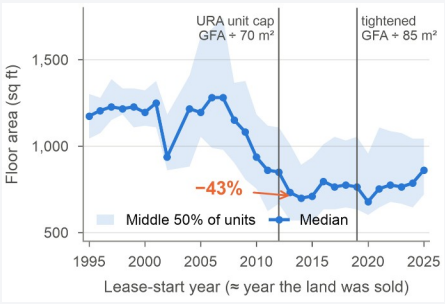
1 WHAT SHRANK

1 New launches in 2025 are 21% smaller than resale homes



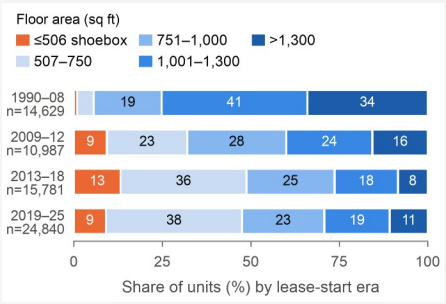
Share of 2025 sales per 50 sq ft band, new launches above the axis and resale below. Median new unit 797 sq ft against 1,012 for resale. Homes of 1,200 sq ft or more are 34% of resale but only 18% of new launches.

2 Homes on land sold after 2008 are 43% smaller



Median and middle 50% of floor area by lease-start year, all 2020–25 sales. Sizes held near 1,240 sq ft until 2008, fell to 710 sq ft for land sold in 2013–15 and stayed there, the floor set by URA's caps on units per project [5].

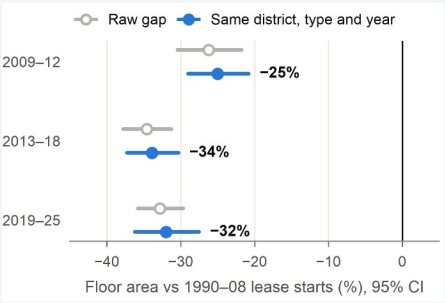
3 Shoeboxes went from 1% to 13% of homes, big homes from 34% to 8%



Unit-size mix by lease-start era. One- and two-bedroom sizes (507–750 sq ft) grew from 5% to 38% of units. The 2019 cap pushed shoeboxes back to 9%, but homes over 1,300 sq ft stayed rare at 11%.

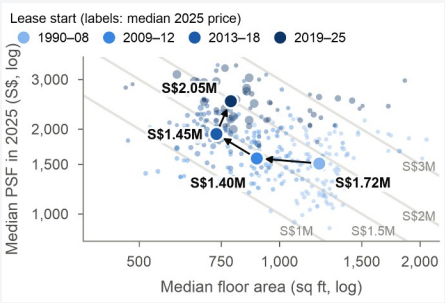
2 IS IT REAL, AND HOW DOES IT WORK?

4 The shrink is the same inside each district



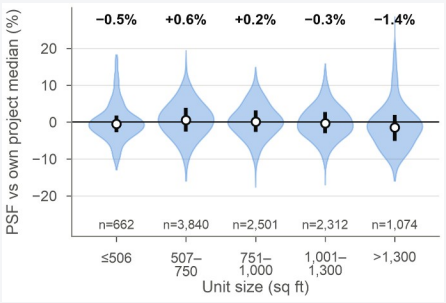
Regression of log floor area on lease-start era against 1990–08 (66,237 sales, 95% intervals clustered by 464 projects). Holding district, type and sale year fixed moves each gap by about one point, so location does not explain the shrink.

5 Smaller homes kept the price tag down until the 2019 cap



2025 prices. Dots are projects, large markers era medians; points on one grey curve cost the same. From 1990–08 to 2013–18 floor area fell 40% and PSF rose 27%, and the median price fell from S$1.72M to S$1.45M. Post-2019 homes are 7% larger and cost S$2.05M.

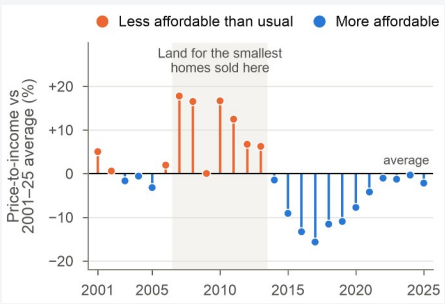
6 A launch is priced per sq ft, so floor area is the only lever on the price tag



2025 new sales in 50 projects with 20+ sales (10,389 units), each unit's PSF against its own project's median. Every size band's median sits within 1.5% of zero. Price moves one for one with floor area, so a lower price tag means fewer sq ft.

3 WHY IT HAPPENED, AND WHAT CHANGED

7 Prices ran furthest ahead of incomes in 2007–13, when that land was sold



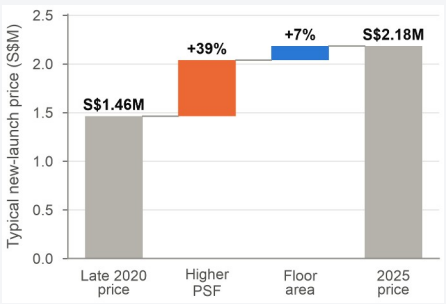
URA non-landed price index [2] ÷ median household income [3], against the 2001–25 average. Every year from 2007 to 2013 except 2009 was 6–18% less affordable than usual. Incomes then caught up, and by 2025 the ratio was near average.

8 At 2025 launch prices, the median household can borrow for 743 sq ft



Affordable area = largest loan under MAS rules (repayments ≤55% of income at 4% [4]) ÷ 75% LTV ÷ PSF. Orange boxes miss the 797 sq ft median new unit. At median income (S$12,446 [3]) reach fell from 1,117 sq ft at 2020 PSF to 743. Rate cuts below 4% change nothing.

9 With shrinking capped, the new-launch price tag rose 49% in five years



Typical new-launch price, late 2020 against 2025, split exactly into PSF and floor area (geometric means, each region against itself, 2025 weights). PSF added 39% and floor area 7%. Units no longer shrink, so buyers now pay the whole PSF rise.

Answer

Yes, until URA stopped it. Homes on land sold in 2009–13, when prices ran furthest ahead of incomes, are about 40% smaller than earlier homes in the same districts, and that kept their price tags down. Launches are priced per sq ft, so cutting floor area was the only way. URA's unit caps put a floor under sizes near 750 sq ft. Since then the PSF rise has gone straight into the price tag (+49% from late 2020 to 2025), which now sits at the edge of what a median household can borrow.

Recommendations

Buyers: compare PSF and space, not the price tag. A 2025 resale home gives 47% more floor area per dollar than a new launch (S$1,747 against S$2,572 PSF), in exchange for age and a shorter lease.

Developers: with shrinking capped, layouts that waste less space are what is left to compete on.

Policymakers: the cap protects living space but moves the pressure onto price. Affordability now rests on land supply and income growth.

Limitations. Eras are compared at 2025 prices, not their launch prices, and older homes are also cheaper per sq ft because of age and lease decay. No bedroom count; strata-area rules changed in June 2023 [6]; 2024 is missing; income includes employer CPF, so true borrowing power is a little lower. All results are associations, not causal effects.

References. [1] URA REALIS via DAO2702 (properties2025.csv; Lecture 6 properties23.csv). [2] URA Private Residential Property Price Index, data.gov.sg. [3] SingStat household employment income, data.gov.sg; Key Household Income Trends 2025. [4] MAS: TDSR 55% (Dec 2021) and 4% rate floor (Sep 2022), via DBS. [5] URA circular DC18-06 (2018). [6] Huttons via EdgeProp (2025), Are home sizes in Singapore shrinking? [7] ONS (2019), The impact of shrinkflation on CPIH. Code: shrinkflation.ipynb.